Democrats Sweep Congress — And Stocks Explode Higher

Podcast: prof G markets

AI Executive Summary

1. Core Thesis The episode analyzes the historic midterm election results where Democrats secured control of both the House and Senate following a significant rejection of the Trump administration's economic agenda. This political shift is driving immediate market volatility, with broad indices surging due to lower tariff expectations and oil prices dropping significantly on hopes for de-escalation of Middle Eastern conflict. Concurrently, the transcript explores new legislative themes emerging from this sweep, including strict local data center restrictions tied to AI fears and a renewed congressional focus on criminal accountability, economic affordability (housing/tariffs), and restoring constitutional trade powers.

2. Key Arguments & Data

3. **Political Landscape:** Democrats are projected to control the House with over 250 seats and win at least 54 Senate seats, resulting in historic upsets in Texas (first Dem Senator since 1988), Kansas (since 1932), and Iowa (Dem Governor since 2006).
4. **Economic Mandate:** Voters connected high gas prices, inflation, and mortgage rates directly to Trump's policies; 56% of voters cited AI/data centers as a crucial factor in their voting decision.
5. **Market Performance (Nov 5th):** Major indices surged (Dow +3%, S&P +2%, Nasdaq +2%). Brent crude dropped approximately 8-10% to $95 per barrel, reflecting expectations for ending the war on Iran. Big Tech stocks (Apple, Alphabet, Amazon, Microsoft, Meta) added nearly $1 trillion in value, whereas cloud-only entities (CoreWeave, Oracle, IREN) saw significant losses.
6. **AI & Data Center Regulation:** In at least 41 local referenda on data centers, only one pro-building measure passed; pure neocloud companies plummeted while Big Tech was spared due to investor perception that regulation applies to construction capacity but not necessarily core profits.
7. **Policy Debates:** Catherine Rampell argues Democrats should focus on rolling back Trump policies (tariffs, Medicaid cuts) and addressing

affordability rather than simplistic price controls like nationwide rent freezes. Ed Elson supports pursuing criminal prosecution (bribery, securities fraud) as non-negotiable to avoid lawfare.

8. **War & Oil:** The drop in oil prices is attributed to market pricing expectations of de-escalation by both Democrats and Republicans; however, feasibility remains uncertain due to Iranian control over the Strait of Hormuz.

9. **Future Political Direction:** The Republican party is being characterized as having lopped off principles (trade, low taxes) beyond Donald Trump, potentially leaving a legacy of isolationism/anti-immigration sentiment for figures like JD Vance or Tucker Carlson.

10. Actionable Takeaways

11. **For Investors:** Re-evaluate exposure to pure neocloud stocks vs. diversified Big Tech due to differing risk profiles and anticipated regulatory outcomes. Monitor oil prices as a leading indicator for geopolitical de-escalation, but acknowledge the uncertainty in actual execution by administration officials.
12. **Policy Watchers:** Track congressional use of subpoena power regarding companies cooperating with the previous administration (e.g., Elon Musk/Starlink) and prioritize legislation focused on national security interests rather than political retribution.
13. **Economic Focus:** Monitor developments in housing supply permitting and potential tariff reversals, as these constitute core Democratic mandates for fixing consumer affordability.
14. **Regulatory Context:** Be aware that local data center restrictions are becoming a national precedent; investors should prepare for a pause in new construction capacity before frameworks for AI regulation are established.
15. **Strategic Outlook:** Recognize the potential power struggle between MAGA/Trump legacy elements and the incoming Democratic legislative agenda, particularly regarding immigration, defense spending (Pentagon funding), and trade authority.

Full Transcript

As soon as autumn rolls around and you swap your iced lattes for pumpkin spice, that's your signal to start thinking about the holidays. The decor, the gifts, the shopping lists, but more importantly, the holiday treats. Cheesecakes, cookies, is there anything better? And when the recipe calls for cream cheese, there's only one option. Philadelphia, the original cream cheese. made with fresh milk and real cream. This holiday season, whether you're going all out or keeping it simple, make it really, really good. Find your favorite holiday recipe at creamcheese.com. Support for today's episode comes from Delta, official airline of the National Women's Soccer League. Traveling is basically magic. It creates opportunities, it fosters understanding, it expands horizons, it connects people and communities to each other and to their own potential. Those are the values that drive Delta. With up to 5,500 daily Delta and Delta connection flights to more than 300 destinations on six continents, Delta is committed to helping you explore your world.

Whatever gives you the travel bug, Delta is here to help you get there. Visit delta.com for more info. Delta, wherever the journey takes you. Running a business shouldn't feel like surviving a software group project. One after accounting, another for inventory, another for sales, and somehow, none of them talk to each other. That's where OTU comes in. An all-in-one business management software that brings every part of your business together. From sales and accounting, to inventory and marketing, all in one powerful platform. No messy integrations, no bouncing between tabs, and, best of all, no spreadsheets. Stop managing software and start managing your business with one unified system. Try for free today at odu.com slash vox. That's oduo.com slash vox.

Welcome to ProfG Markets. I'm Ed Elson. It is November 5th. Let's check in on yesterday's market vitals. The major indices ripped higher following the election results. The yield on tenure treasuries declined. Brent crude dropped 8% to 95 per barrel. And Neocloud stocks tanked while big tech stocks rose in anticipation of new AI policies from the Democrats. More on that later. OK. What's happening? In a seismic shift for American politics,

Democrats have one control of Congress. Democrats flip the house where they're on track for more than 250 seats and the Senate where they've won at least 54. It was a night of historic upsets in red states. Iowa elected its first Democrat governor since 2006. Kansas sent a Democrat to the Senate for the first time since 1932, and in Texas, James Tallarico became the first Democrat to win a Senate race since 1988 on the same night that Gina Inajosa unseated Governor Greg Abbott. The results are widely considered a rebuke of President Trump and his economy. Gas prices are up 40% from a year ago. Inflation is running well past the Fed's target and mortgage rates.

Back above 7% stocks rose after the election. The Dow jumped 3%. It's best day since April 2025. And the S&P and the Nasdaq each rose nearly 2% as well. So what does a Democratic Congress mean for the economy and for markets over the next two years joining us to discuss this? We're speaking with Catherine Rampell, economics editor at the Bulwark and Anchor at MSNOW. Catherine, thank you for joining us. An unbelievable sweep on so many different levels. We could go anywhere with this. So we'll just start with your initial reactions. Yeah, I mean, it was a generational route. And I think there was a high expectation for Democrats going into this election, but it just exceeded all expectations. As you point out, Kansas just got its first Democratic senator since 1932. Heck, there were...

Democrats who won races where they weren't even running. There was a guy in Iowa who was still on the ballot after having dropped out for a, I think it was a state legislature seat and he won. So the voters were clearly just infuriated by the economy that they're dealing with with the war. And they decided to deliver a message to Donald Trump. And this is the message that they gave. I think the real question is how much This is a Republican loss versus a Democratic victory. Arithmeticly, obviously, they're the same thing. But what that means in terms of the mandate for Democrats going forward looks very different depending on how you interpret it. Trump has been saying that this wasn't about him, essentially. He's saying that because he wasn't on the ballot, that's why there was such a historic loss.

I assume you disagree with that. I mean, all of the polling seem to suggest that this is specifically about Trump, specifically about him. He was on the

ballot. I assume that is your view as well. You can interpret this as nothing other than a wholehearted repudiation of the Trump agenda. Americans are mad that gas prices are high, that grocery prices are high, that mortgages are expensive. They're mad that Donald Trump... promised that he was going to lower prices, which we can get into why that was never going to happen, but of course instead of even letting prices kind of plateau instead of just kicking back and enjoying the relatively strong economy that he inherited, Trump decided to basically push all of the buttons that made the economy worse. Generally, I'm of the view that presidents don't have a lot of levers to pull to affect the economy. They get too much credit when the economy is good too much blame when the economy is bad blah blah blah. We have learned in the past year and a half that actually presidents can't do a whole lot to improve the economy but they can do quite a bit to make it worse. And unlike other kinds of things that presidents might do where it's hard for voters to connect the dots between like an infrastructure project that takes 20 years or whatever to really pay off or some sort of subsidy. In this particular case, it was really easy for voters to look around them and say, I'm mad about X, Y, and Z gas prices, let's say, and connect the dots to a specific thing that Donald Trump did. So yes, I definitely view this as a rebuke of the Trump agenda.

Yeah, there was almost no nuance. It seems like every election there's always a blame game. There's always some confusion as to like what's actually going on. It feels like this is the only election we ever had where it's like, oh no, everyone knows exactly what is happening here. Everyone understands what the problem was, which to your earlier point to me says this was less of a democratic victory than a Republican loss, which I guess the question then becomes what are the Democrats supposed to do with that? Are they going to recognize that Uh, depending on if it's true, what do you think? To be fair, I do think that Democrats were strategic in running pretty good candidates in a lot of these races. They were obviously helped by the fact that Americans hate the Trump agenda and hate the war and hate the tariffs, etc. But they did run good candidates in places like Kansas and in places like Texas. So, um, You know, they were maybe going to get over the line no matter what in some places, but in those states that looked out of reach not that long ago, I do think that it was helpful that they had good candidates. So I don't want to rob them of all their laurels here. When it

comes to what that means that they should do, I think that voters are pretty clear that they want lawmakers to focus on affordability. Now, there's a bunch that Democrats can do to roll back some of the damaging Trump policies, things like restoring the funding for Medicaid that was cut, snap funding as well, or rolling back the tariffs. You know, there are a bunch of things where they can undo Trump policies. When it comes to actually doing new stuff on affordability, that's where it's a lot harder. I think Democrats have been overly simplistic in their messaging about all of this, with some calling for things like a nationwide rent freeze or other kinds of price controls or things like that. Those are not going to work. I don't know exactly how much political momentum there is behind those kinds of things.

And besides, they certainly have more than their work cut out for them in just reversing some of the Trump policies. But I do think that there's going to be a fight over the next couple of years and heading into the 2028 presidential election about what the actual affirmative message of the party should look like and what that policy agenda should look like beyond just, you know, scrubbing the evidence of Trump policy off of the government as it stands now. Just on this idea that they could roll back some of his policy decisions. It seems like one of the most interesting moves in the market following this election was what happened to the price of oil. Brent crude fell almost 10%. It seems like the market is basically telling us that we have a pretty good shot of ending the war and getting out of Iran. I mean, do you think, one, is that what it's saying? And two, Do you think that's right? Is that actually a feasible path here that the Democrats could really coerce? I think it might come less from the Democrats actually than from Republicans themselves. Part of the reason why oil prices fell so much was that J.D. Vance, obviously the vice president, came out and explicitly blamed the war for this route that Republicans just experienced saying that that's why voters were mad, that's why they threw the bums out.

et cetera, Don Jr., the Trump son, also whatever retweeted that JD Vance post, suggesting that that was the correct interpretation as well. So I do think there is reason to believe that this administration is more inclined, I guess, to try to wind down the war. Now, whether that can actually be executed in a way that markets seem to think is going to happen is a totally

different question. Right? The horse is out of the barn on this. The Iranians know, the Iranian government knows that it can control the Strait of Hormuz. And so you can't like unsee that conclusion if you are the Iranian government or if you are in the oil markets themselves, right? If you, I don't know, if you are commissioning a tanker or whatever, ensuring a tanker. So I do think there's a question about the feasibility of delivering that result. But in terms of the willpower or the willingness to deliver it, I think that there's more appetite, particularly for Republicans who are eyeing 2028 and who are worried about Donald Trump and his very unpopular war weighing them down, which obviously JD Manse is. Now, I also think that Democrats are going to put pressure.

on the administration to do all of these things. But ultimately, it's probably going to come down to what the White House and what the Pentagon decide to do, even if Democrats in the House and the Senate can try to withhold funding, for example, from the Pentagon. It's really like those strategic decisions are more likely to be left up to the administration. I mean, it brings up a very fundamental question about Trump and how he's going to respond to what happened. on Tuesday. And that is, is he going to reverse his decisions? Is he going to reverse his decisions on Iran? Is he going to reverse his decisions on tariffs? Is he going to reverse his decisions on immigration? I think that one's probably less likely. But at least on Iran and tariffs, two of the most consequential economic decisions that have defined the experiences of every single American over the past two years that have defined the trajectory of markets over the past two years. And I wonder if this might be the moment that actually he says, okay, my bad, that was a mistake. I mean, do you think that's actually feasible or realistic? I don't think he has, he's capable of that level of introspection or strategic thinking, but he may lose interest in a lot of these things in the same way that if you saw his press briefing today, it was like showing off the ballroom. That was his response to this, again, generational route for his party that he himself caused. He was like, let's go look at this beam over here. And he answered a couple of questions about the election, but then disavowed any sort of responsibility for it and said, oh, it was maybe related to that Iran thing.

now calling it a thing, a war in which 23 service members that we're aware of have passed away is pretty callous. But it also reveals the fact that he's, this is just not top of mind for him. He's never really been that interested in it. He's much more interested in these vanity projects. So will he actually like undo the damage or will he just get distracted and do something else? I think the latter is more likely. And the war aside on some of these other kinds of questions like tariffs, Congress does have a lot of power here. If you look at the Constitution, which one should in the current environment or always, the Constitution says that it is Congress that controls power of the purse and that is supposed to control trade among the nations.

abdicated to responsibility or delegated away some of these authorities over the years. And they can clearly take those back and may have more willingness to take those back. I think actually on the terrace what's been interesting is that even in the kind of rust belt states of the Midwest, places where Democrats used to run on a very protectionist message, they did not this cycle. Even people like Sherrod Brown were criticizing the Trump. tariff agenda. So you may well see that on things like that, which besides raising costs, downstream costs for consumers have also been really, really disruptive to companies and to markets, you may see some greater intervention or like reclaiming of those constitutional responsibilities in a way that both Hems and Trump, at least I hope maybe this is wish-casting, but I hope this is what happens that Hems and Trump and also creates a lot less uncertainty and erratic policy making for markets. So I think that's part of the market reaction here that we're seeing. Yeah, the markets have reacted positively. I guess that is this was sort of reducing the amount of risk now that we have a little bit of pushback.

in terms of what the Democrats should do at this point. It seems like one of the questions has been around prosecuting corruption and crime or alleged crime, apparent crime by the president, by his associates. What do you think they're going to do? Do you think they're going to go after this stuff? Do you think they are going to prosecute him? Are they going to hand him subpoenas? What is the next step for the Democrats? Well, they do have subpoena power. And the places where I think they are more likely to be successful with it are with the people outside of the government, outside of the executive branch, who have been somehow collaborating with the

regime, whether reluctantly or gleefully. So you mentioned companies that have been cooperative, shall we say, with him. There are other companies that donated, I'm using scare quotes if you can't see this, donated to the ballroom in some cases for apparent favor trading. We don't know in some cases, but in some cases it certainly looks that way. You have lots of other at best, unseemly at worst, potentially criminal types of arrangements, no bid contracts, other kinds of contracts, cooperation with the immigration agenda, equity stakes being taken in companies.

All of that, I think, is going to be on the table for Congress, a Democratic majority Congress and Senate to look into. There's lots to dig into. Elon Musk, obviously, a very prime target for them as well. I think the challenge for Democrats as they pursue some of these things is to not look like this is score settling, that this is the kind of lawfare that Trump has waged upon his own enemies. This isn't about like, oh, these guys didn't vote for us, and therefore we're gonna subpoena them up the wazoo and make them spend a lot of money on lawyers and such. They have to make clear that this is about actual law-breaking, and particularly if they're smart, law-breaking that actually hurts the general public. So it's not just that like these are companies that, I don't know, that got rich.

Somehow and that's that was all that was at stake and maybe there was insider trading or I don't know some things where it's a little bit abstract to figure out who the victims are But to focus on like with Elon Musk, let's say what happened with Starlink and was you know, were U.S. interests being compromised? Or Jamie Raskin, who is a congressman from Maryland, a Democratic congressman from Maryland, sent a letter recently to the oil companies saying basically, don't you dare cooperate with Donald Trump's imperative whatever direction to help import oil from Russia because that's still sanctioned. That would still be against the law. We don't care what the executive orders in the deal with Putin say.

So I think that there are particular cases where it'll be more fruitful to look at potential law breaking where you can actually show that like US national security interests or US economic interests, regular people's economic interest financial concerns were potentially sacrificed in order for these companies to somehow enrich themselves. It's going to be such a thorny

issue because at the same time, I would hate for them to be overly cautious about prosecuting actual crime out of fear of being seen as pursuing some form of law of lawfare. And I mean, even that is a form of lawfare, not prosecuting the law for political reasons, essentially because you're scared that you're going to be seen as doing something political. I mean, it's going to be fascinating to watch. It'll be very interesting to see what they actually pursue.

I was watching how different networks were covering the results today. And so I was watching Fox News earlier and Trey Gowdy, who if his name sounds familiar, he was like representative Trey middle name Benghazi Gowdy. He was complaining about how he anticipated that Democrats were going to use their gavels and their subpoena power to just like Punish put you know do these put you meet out these political punishments to punish anybody who believed in the Trump agenda as opposed to looking at actual law breaking or pretend, you know suspected law breaking and so Republicans are already crafting that narrative around it even when they themselves you might argue were again looking at Benghazi for example and Made a dog and pony show out of all of that, but it will be challenging for Democrats to to show that they're focused on the American people and their voters, the people who put them there, and not just like settling scores. Well, I hope they just provide evidence. And once we see evidence, then we'll know what crimes committed. Just to wrap up, is this the end of MAGA in your view? Is this the end of Trump? This is the most, I think the most resounding message saying, we've had enough of this.

It's been, you know, 10, 11 years of Trump being around and the MAGA movement being alive and well. Do you think this is it? I think it depends on how you define MAGA. I think there will be a power struggle in the next couple of years to sort of inherit that America first MAGA movement in a way that is not... focused on Trump, right? Because there's not a whole lot that the Republican Party writ large or MAGA stands for at this point beyond Donald Trump. They kind of like lopped off every limb that they could find. My colleague Andrew Egger talked about this recently at the Bulwark, but basically they, you know, they cut off the neocons to begin with, the free trade people, even the people who cared about like religious...

moral issues that they they've kind of cut out Even the people who cared about low taxes if you think about tariffs, which are taxes. So they kind of cut out every principle that they stand for beyond Donald Trump. So what does that movement look like without Donald Trump? And I think that there is a lane for the more isolationist, maybe some of the uglier anti-immigrant stuff to persist even without Donald Trump leading it. Like I could very well see a lane for a Tucker Carlson or someone like that. And maybe he won't call it MAGA. But it will be sort of inheriting maybe some of the uglier parts of the agenda, if not necessarily, I don't know, credit for the war, let's say, or the tariffs. His criticism of Trump at this point does seem strategically quite effective. He's in a better position.

this week, probably than he was last week. Catherine Rampell is an economics editor at the Bulwark anchor at MSNOW and host of the receipts podcast, which just launched. I encourage you to go check it out. Catherine, really appreciate your time. Thank you. After the break, what the midterm results mean for AI? And for even more markets insights, you can subscribe to my weekly newsletter, Simply Put at EdwardElsson.Substack.com. You work hard for every dollar. So put those dollars to work for you with SoFi, the everything app for smarter money. With SoFi checking and savings, you can easily track your spending and saving while earning nine times the national average savings rate. Get paid up to two days early with direct deposit, with no account or overdraft fees, and earn a cash bonus when you sign up with eligible direct deposit. Terms apply. Open your SoFi checking and savings account today at sofi.com slash voxbank.

SoFi checking and savings is offered through SoFi Bank NA, member FDIC. Staying ahead of the markets means keeping up with a constant stream of data, trends and news. But finding the insights that actually matter to your portfolio isn't always easy. That's where AlphaSpace by Yahoo Finance comes in. AlphaSpace is an investment charting and analysis platform featuring a fully customizable dashboard bringing together the market data, trends, and insights most relevant to your portfolio and investment strategy. You can explore AlphaSpace with a Yahoo Finance Gold subscription and right now your first year is 50% off. Head to yahoofinance.com slash vox. That's yahoofinance.com slash vox. Build is 239.70 for the first year, then 479.40 thereafter. Offer valid for new

subscribers in the U.S. Offer ends December 31st, 2026. Running a business shouldn't feel like surviving a software group project. One app for accounting, another for inventory, another for sales, and somehow, none of them talk to each other. That's where OTU comes in.

An all-in-one business management software that brings every part of your business together. From sales and accounting to inventory and marketing, all-in-one powerful platform. No messy integrations, no bouncing between tabs, and best of all, no spreadsheets. Stop managing software and start managing your business with one unified system. Try for free today at odoo.com slash vox. That's odoo.com slash vox. We're back with ProfG Markets. Democrats pulled off a blockbuster sweep Tuesday night, and according to the exit polls, voters were focused on an issue that is somewhat new in America, and that is... data centers. Voters approved more than 30 local measures to restrict data centers, while only one measure passed to ease restrictions. 56% of voters called AI and data centers a crucial or major factor in their choice at the polls. As a result, the tech market made some enormous moves. Neoclouds like CoreWeave, Oracle and IREN all ended the day deep in the red. However, big tech companies like Apple, Alphabet, Amazon, Microsoft, and Meta added nearly a trillion dollars in market value. So what is next for the AI build out after the Democrats take over? Here to break this down, we're speaking with Alex Boris, New York State Assembly member, author of the Rays Act and founder of Who Decides? Alex, thank you for joining us on Prof2Markets. So this has been, we knew this was going to be an issue.

Going into this election AI data centers. This has been your issue. You've written legislation on it. This is really what you're known for. I don't think people expected it would be this big of an issue and also so unanimous. Your reactions to what we saw in these midterm specifically on the data centers. I myself am blown away. by exactly that, how unanimous it was. I think there were 41 local referenda on data centers and some of the votes are still being counted. But I think there's only one where the pro-building data center side of that initiative won. I mean, from coast to coast, people were expressing that they want there to be more guardrails. They want there to be more restrictions. And of course, no conversation about the impact on data centers and AI from Tuesday is complete without looking at the the

Texas governor's race where a long shot bid by Gina Hinajosa who ran strongly on rolling back data centers and putting a more term on data centers took out Greg Abbott who had been the biggest champion of data centers until maybe the last few months of the campaign where he saw the political wins and turned the other way. And so that by itself, Texas being one of the biggest markets, biggest opportunities for growth in data centers, that switch could really have national and even international implications. Did that issue define that race? And did it define other races? I mean, look at Sherrod Brown in Ohio, his sort of move was calling Husted.

quote, the face of data centers in Ohio. And it seemed like that became like a big issue. But I mean, that was one of the biggest upsets is, you know, taking governor in Texas, no one thought that was going to happen. Is that a data center story? It's a huge part of the story. And it goes beyond just data centers. I think data centers were dominating the conversation three, four months ago. But by election day, in most of these places, it had evolved to be a broader conversation about AI itself about who gets to set the rules about whether this is something that democracy still can express. If that's local communities on data centers or if that state's being allowed to pass their own laws on our AI or whether they'll be banned from doing so as industry has tried to pass federally. So the fact that there were people running who were made clear that they were going to stand up to entrenched interest, that they were going to try to empower the American people, was a resounding message and whether that was on data centers or broadly on regulation on AI. What do you think voters are most concerned about when it comes to the data centers? I feel like there's a whole swath of things that people have expressed, but I mean, what ranks highest do you think? It's tough to separate out the different pieces of it, but...

There's a debate about whether it is AI itself or just the data center. There's lots of things that are just local concerns with the data center. People express a lot of concern about water usage. In the US, that's pretty highly regulated. We've seen much better behavior than what we've seen in other countries. But the energy prices that might spike because of it, even when a data center is promising to bring its own energy, if it puts a lot more demand on the components that generate energy, that could raise prices for your local utility that's doing it as well. So whether people will truly get

their bills frozen or reduced because of a data center has become a big issue. But there was really interesting polling that showed if you ask people, how they felt about a data center versus how they felt about an AI data center. Data centers by themselves were still underwater, but an AI data center was another 20 points underwater. Just that it was tied to AI made a big difference. So you saw open AI saying that they are going to try to rebrand data centers as AI compute campuses.

I mean, campus sounds fun, but they're still tying the AI into it in a way that I think won't alleviate the very real concerns and fears that Americans have. You have proposed more stringent regulation on AI and data centers. You had co-sponsored a bill in New York that would have paused data centers, data center construction for a year. It ended up happening by a different measure that Governor Hockel later implemented. But when I hear that, this idea that AI data centers are so much worse than data centers, to me, that makes me think that maybe voters are misunderstanding data centers, or that they're being mischaracterized, caricatured in some way as AI equals bad, so we hate this thing. Am I wrong in thinking that? Is there a little bit of...

I don't know, sort of an anti-AI cult that is causing people to maybe irrationally dislike these things, or is it all rational and warranted? Well, I think it was Camus who said humans aren't rational, they're rationalizing. So the philosophy of the mind and of the voters we can put off there, but there is a, you know, if a data center, I like to point out there are plenty of data centers that exist. in my hometown of New York City, they're just in buildings. They're not these big campuses that impose on land use in lots of ways. So there are legitimate concerns about land use, about power, about noise in some of these places, and all of that's reasonable to talk about. And then there's the separate fact that data centers are the first time that AI is meeting democracy. And so let's say you're You know fine with a data center, but you're really upset about the way AI is being forced into schools as we saw news with Google this week Or you're worried about the impact of AI on chatbots or or even AI automating your job you haven't gotten a vote on any of those changes. Polling that who decides did, that our organization did, found that over 70% of Americans agreed that AI has been forced into their workplace, their kid's school, or some other part of their

daily life without them being consulted. And so they just feel alienated from being able to make any choice with this technology. And if the first choice you get is whether you could build a local data center, well, I understand people then expressing a broader preference through that vote. Yeah, it's a great point. Just looking at the market's reaction, so it seems as though investors basically believe that this blue wave, this blue tsunami, essentially means that we're going to have very stringent regulation on data centers or at least data center construction is going to be significantly slowed down. Neoclouds have sold off massively All of the names whose only business is to build data centers, they are plummeting right now. Interestingly, big tech did not, and it seems as though investors believe that maybe they'll have a competitive advantage over the neoclouds now, or maybe just that this means that they'll stop spending crazy amounts of money on these data centers, and maybe that's a good thing because it sort of de-risks their businesses.

you disagree with my characterization of what's going on in the markets right now. I think your characterization is spot on, and I find it fascinating. It expresses a bet that there will be stringent regulation on building new data centers, that that capacity will be curtailed, but that there won't be regulations that impact the profits of the tech companies and the AI companies. That's interesting, right? That is a bet that what voters were expressing and then what the electeds will follow on with is just on data centers. I don't think that matches what I'm hearing from voters. And I also don't think that that matches what electeds have been talking about and what their incentives are when they're thinking two years down the road. Now, perhaps there's another nuanced level of that, which is much of the regulation that's been proposed around AI that isn't data centers.

doesn't actually restrict profits all that much, right? What's being proposed has been tremendously light touch. Even having third-party auditors, all the companies have said they want to do, so maybe that is priced in. I mean, I remember this when it was fights about the raise act in New York where we had intense lobbying against it, but the trade organization that was fighting back said that it would cost The group that has every incentive to say this will be a crushing overreach, a crushing burden on business, that trade association said it would cost Meta and Google and OpenAI, these massive

companies would cost them one full-time employee to comply with. So maybe this is the market recognizing that even if regulation is coming, it's not really going to threaten profits and there's room for government to take action here. Based on the investors' reaction here, It seems as though investors believe Wall Street believes that data centers are essentially going to be gutted. I mean, it's a pretty strong reaction that we're seeing. And I imagine you are kind of the face of this movement in a lot of ways, certainly in New York. And I would imagine that people see you as someone who says data centers should just disappear. They should go away.

And I wonder if maybe Wall Street investors are overreacting to the extent to which data centers will be disrupted or the buildout will be disrupted. To me, it seems like actually a lot of these newly elected Democrats are pretty reasonable in suggesting maybe we pause this amount of capacity here until we have a framework in place, which maybe could take less than 12 months. Would you agree with that characterization that maybe that two concern that we're gonna have this giant crackdown that's gonna kill the data center industry? I think that's right. Certainly there's a spectrum and some of the people who were elected yesterday on both sides of the aisle just want there to never be another data center or even to walk back, right? I'm not gonna say that those voices don't exist. But yeah, I think most of the people who have, even those who have advocated for a pause, It's been just that, a pause. Let's get reasonable regulations in place. Let's pass laws that say how it needs to be treated. Even where we started this conversation with Governor-elect Hinojosa, her two-year moratorium was, and these specific regulations need to be put in place before we renew any new ones. So there will still be room to grow the data centers. Now, maybe some of these companies are so highly levered that any...

threat to them, any delay, could have larger business impacts. But this is not the end of building data centers in the US. It's just maybe entering a mode where they're a little more regulated. Alex Boris is a New York State Assembly member and author of the Rays Act. Alex, we appreciate your time. Thanks for having me. Well, the Blue Nami has arrived. The Democrats took the House and the Senate in what will go down as one of the most resounding victories in the history of congressional politics across the country, districts swung blue. We saw upsets in Texas, in Kansas, in

South Carolina, in Maine, potentially in Mississippi as well. These are states that have not elected Democratic senators literally in decades. This was unlike anything we have seen. Now, we will be digesting and analyzing this over the next few days. But to begin, I would like to take a quick Victory lap because I predicted a democratic landslide back in June when that was not a popular opinion at all. And I doubled down on that prediction last week. And I even said in my newsletter that this would be similar to the 1890 midterm elections and that it would be one of the greatest defeats ever. And that is exactly what happened here. This was a blowout. It was a bloodbath, a slaughter, whatever you want to call it. This was huge.

Now the question is, what's next? Well, there's been some debate as to whether the Democrats should pursue prosecutions and retribution against Trump. Some people think that it's an unnecessary distraction from the real issues. Others think that it is important. I personally am in the others camp. I think that prosecution is not only important, but essential. Why? Well, because it appears that this person actually committed crimes. whether it be bribery or insider trading or abuse of office or securities fraud or covering up a child sex abuse scandal, you name it. And so to not pursue accountability for crimes is to let our politics hijack our justice system. This isn't lawfare. This is simply the law. And if we find that Trump did nothing, then OK. But if he did, then he needs to be punished.

And that to me is a non-negotiable. And if the Democrats don't pursue that, well, then I think they will be admitting weakness and defeat. At the same time, though, they also have to fix the economic problems. They do have to deal with the affordability crisis. That means immediately repealing the tariffs and immediately getting out of Iran. How do they accomplish that? I don't know, but they should try. It also means addressing the housing issues. We have a very significant supply problem in America. And if the Democrats don't figure out a way to significantly increase permitting and home building across the country, then they will have failed. It also means addressing the inequality problem, which has been widening for years and that is now reaching a breaking point that might mean tax reform. It might mean equalizing taxes on income and capital gains. It might mean a lot of things. Again, This is up to the Democrats to figure that out and then go out and execute it. The point is there is still a lot of work to do, and it's not an

either or situation. It's a both and situation. They should be dealing with all of this from rooting out corruption with prosecutions and with laws such as stock trading bans to targeting the economic problems that put them in office in the first place. Congrats to the Democrats.

A lot of really impressive campaigns, enjoy the champagne, celebrate the victory. But then, in the morning, it's time to get to work because this job is not finished, and there is a lot more to do. OK, that's it for today. This episode was produced by Claire Miller and Alison Weiss and engineered by Benjamin Spencer. Our video editor is Brad Williams. Our research team is Dan Chalon, Kristen O'Donoghue and Mia Silverio. And our social producer is Jake McPherson. Thank you for listening to Profty Markets from Profty Media. If you liked what you heard, give us a follow. I'm Ed Elson. Tune in tomorrow for our election breakdown with Anthony Scaramucci. Running a business shouldn't feel like surviving a software group project. One app for accounting, another for inventory, another for sales, and somehow none of them talk to each other. That's where OTU comes in. An all-in-one business management software that brings every part of your business together. From sales and accounting to inventory and marketing, all in one powerful platform.

No messy integrations, no bouncing between tabs, and best of all, no spreadsheets. Stop managing software and start managing your business with one unified system. Try for free today at odoo.com slash vox. That's odoo.com slash vox. Support for the show comes from Fetch Pet Insurance. If you have a dog or cat, here's something you need to know. According to Forbes, one in three pets will need emergency treatment this year. And every six seconds, a pet parent gets hit with a vet bill over 1,000. Vet bills don't have to hit that hard. Fetch is pet insurance that covers accidents, illnesses, and emergency visits and pays back up to 90% of eligible vet bills. No wonder pet parents give fetch an excellent rating on TrustPilot. Get a free quote in minutes at fetchpet.com slash save. That's fetchpet.com slash save.